

NVIDIA Corporation

NVDA NASDAQ

Buy	\$211.55 ▲ 0.28%	12M Price Target \$260.00	52-Week Range \$164.27 – \$236.54	Market Cap \$5.11T
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NVDA: AI Jitters Create Entry, Policy Still Tailwind

WHAT HAPPENED

- Stock is basically flat today (\$211.55, +0.28%) but that masks the real story — NVDA has dropped ~5% in a week on "AI pacing" jitters. Yesterday CEOs (including Jensen) publicly pushed back on AI extinction fears, which sounds like PR but is actually a tell: the industry is bracing for regulatory pressure and getting ahead of it.
- Director Mark Stevens dumped ~\$144M in stock on Sept 4 near the highs (\$230s). That's not a "the business is broken" signal — it's a "I'm rich and the stock ran" signal — but it does mark a local top and helps explain why we're consolidating here.

WHY IT MATTERS

Here's the read: the market is nervous about two things right now — AI overspending (are hyperscalers building too much?) and bond yields creeping up (which crushes expensive growth stocks). But options flow is screaming bullish — a 0.47 put/call ratio and massive unusual call buying at \$212.50 and \$215 strikes means smart money is betting on a bounce into month-end. Translation: pros are treating this dip as noise, not the start of something ugly. The bigger picture hasn't changed — NVDA is still the toll booth for every AI dollar spent, and the current administration's posture (loosening some China chip restrictions in exchange for revenue-sharing, expanding federal AI procurement) is a net positive.

POLICY & POLITICAL WATCH

Two things to watch: (1) The Trump administration's revised chip export framework — NVDA agreed earlier this year to share a percentage of China H2O revenue with the US government in exchange for export licenses, which is unusual but effectively reopens a multi-billion dollar market. (2) The CHIPS Act 2.0 discussions and federal AI infrastructure spending baked into the FY2027 appropriations — if that clears, it's another leg of demand. The headwind to watch is any new "AI safety" legislation forcing compute caps or licensing regimes; Jensen's comments yesterday about extinction fears being "made up" are him lobbying Congress in real time.

IS IT EXPENSIVE?

At ~36x forward earnings, NVDA looks expensive on the surface — you're paying \$36 for every \$1 of next year's profit. But when a company grows earnings 40%+ and controls 90% of a market that's still expanding, that multiple is defensible. Compare to peers: AMD trades at similar multiples with a fraction of the profitability, so NVDA is actually the "quality at a reasonable price" name in AI — which sounds insane but is true.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

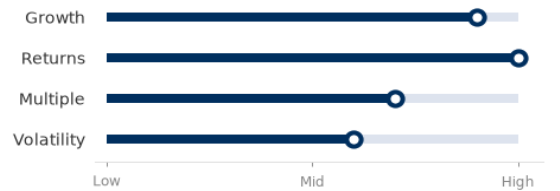
AI-Generated Pre-Market Brief | 2026-09-15 17:16 UTC

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Key Data

Price (USD)	\$211.55
12M Price Target	\$260.00
Upside / (Downside)	+22.9%
Market Cap	\$5.11T
FY2027E Revenue	\$215M
FY2028E Revenue	\$285M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.90
Fwd P/E	36.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$225.00	\$215.00	\$195.00
6 Months	\$260.00	\$235.00	\$180.00
1 Year	\$300.00	\$260.00	\$170.00
2 Years	\$380.00	\$310.00	\$160.00
5 Years	\$550.00	\$400.00	\$180.00
10 Years	\$900.00	\$600.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2%) is leading as oil ticks up and the market rotates into "real economy" names. This is classic late-cycle behavior.

COOLING OFF: Tech (-2% on the week) and Industrials — both hit by the same "AI capex is too much" narrative and rising yields making growth stocks less attractive.

ROTATION WATCH: Money is quietly moving from mega-cap tech into energy and defensives. This isn't a panic — it's a "take some chips off the table after a big run" move. It usually reverses when the next AI earnings catalyst hits.

RELATED PLAY: Data center power and cooling names (Vertiv, Eaton, GE Vernova) benefit from the same AI buildout without the "is this a bubble" premium. Also nuclear/utilities powering data centers — Constellation, Vistra.

WHO'S WINNING IN THIS SPACE?

- DELL (Dell Technologies): RBC bullish note today — Dell sells the servers that house NVDA chips, so their strength is actually a positive tell for NVDA end demand.
- AVGO (Broadcom): Winning on custom silicon deals with hyperscalers — this is the "if you can't beat NVDA, hire Broadcom to help you build your own" trade.

NVDA CONTEXT: NVDA is lagging its picks-and-shovels ecosystem this week, which is unusual and suggests the weakness is sentiment-driven, not fundamental. When the leader lags but the ecosystem holds up, it usually resolves with the leader catching back up — bullish setup.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm not pounding the table because the setup is choppy, but the long-term story is as intact as it's ever been.

POSITION SIZE: 5-8% of portfolio. This can be a core holding, not a trade — but don't go overweight given the concentration risk in any single AI name.

ENTRY POINTS: Add in the \$205-212 zone. If we get a real flush to \$195 on macro fear, back up the truck.

TIME HORIZON: 12-24 months. The catalysts to wait for: October hyperscaler earnings (confirms capex), then NVDA's own Q3 print in November, then GTC keynote in spring 2027.

WHEN TO BAIL: If any two of the big four hyperscalers guide capex down for 2027, or if China permanently loses access to Blackwell chips, exit half the position.

HEDGING: Buy put options 10% below current price for 3-month protection — costs a small premium (~2-3% of your position) but caps your downside if the AI bubble narrative gets legs.